McKinsey had interviewed fifty ‘Group directors, chief executives and division heads of Tata Group companies’. Their report said that: ‘the Group was not keeping up with good management practice and was in substantial danger of falling behind competitors and even losing its identity as a Group’. Ironically, it was a conclusion that Ratan had reached in the early 1980s while formulating his first Strategic Plan.

After reviewing the McKinsey report, Ratan identified four broad sets of problems to be addressed. First, due to the compulsions of the Monopolies and Restrictive Trade Practices (MRTP) Act, 1969—which discouraged the functioning of large conglomerates—the Tata Group had become a ‘loose confederation of companies, highly decentralised, highly individualistic, highly personalised’.

Second, the stakes of Tata Sons in its companies were perilously low, making it vulnerable to takeovers in an architecture that encouraged mergers and acquisitions. As Ratan wrote in a leading daily, ‘Indian companies would … seriously have to consider industry-based consolidation through alliances, mergers or acquisitions amongst themselves to create entities of greater size and higher market capitalization to counter the pressures of hostile takeovers.’

Third, there were no institutionalized systems to promote innovations. And fourth, in the Licence Raj era of protection from external competition, there was scant emphasis on modernization or quality. Whatever was produced was sold in a regulated market. That would now change. ‘Earlier there were very few to challenge the best but now the best will be challenged both from within the country and from outside,’ Ratan said a few years later, exhorting the leaders of the group. If the companies did not change, soon epitaphs would be written for them, he added.

He drove home the point graphically at the 1999 JRD QV Award function. In a rare departure from his understated style, he warned, ‘We will need to be different companies than we have been over the years or there is a danger of some of our companies becoming either a “me too” or a “has been”. I think corporate graveyards all over the world are littered with large names, very respected in the past, that have not survived.’

To address these problems, Ratan established various systems and processes. These resulted in a total reorganization of the group and strengthened its companies to flourish in the liberalized ecosystem. As a leading daily commented, Ratan was not aiming to ‘run a unified and linear